Lagos, October 29, 2026

# HBM NIGERIA MAINTAINS MOMENTUM WITH 9M 2026 PERFORMANCE: REVENUE UP 19%, PROFIT AFTER TAX UP 31% AS VOLUME AND OPERATING EFFICIENCY IMPROVE. SLOWDOWN IN Q3 PERFORMANCE DRIVEN BY PLANNED ANNUAL MAINTENANCE TO UNLOCK OUTPUT RESTRICTION ON EXISTING CAPACITY

- **Net Sales**: **9M 2026** up 19%, driven by volume growth, enhanced operational stability, and improved distribution efficiency demonstrating sustained commercial momentum. 5% decline in Q3 is attributable to planned annual maintenance to unlock output restriction.
- **Operating Profit:** Strong operating profit growth. **9M 2026** up 28%, to close at ₦383 billion, supported by healthy top-line growth and sustained efficiency gains across the business. Operating Margin soared to 41%, from 38% in 9M 2025, demonstrating the resilience of the Company's operating model. Q3 down from 40% to 37% due to annual planned maintenance
- **Profit After Tax: 9M 2026** up 31% to ₦272 billion, reflecting the benefits of strong commercial execution, continued operational efficiencies, and disciplined financial stewardship.
- Our strategic priorities remain centered on enhancing supply reliability, reinforcing cost leadership, fostering innovation, advancing sustainability initiatives, and upholding world-class health and safety standards across our operations.

**Q3| 9M 2026 Performance Overview**

| | **Q3 2026** | Q3 2025 | **Var. (±%)** | **9M 2026** | 9M 2025 | **Var. (±%)** |
|---|---|---|---|---|---|---|
| Net sales (₦'mn) | 249,838 | 263,509 | -5% | 928,248 | 780,486 | 19% |
| Operating Profit (₦'mn) | 91,731 | 106,137 | -14% | 382,675 | 298,408 | 28% |
| Profit Before Tax (₦'mn) | 96,694 | 113,554 | -15% | 414,425 | 313,290 | 32% |
| Profit After Tax (₦'mn) | 63,643 | 75,103 | -15% | 271,990 | 207,780 | 31% |
| EPS (₦/share) | 3.95 | 4.66 | -15% | 16.89 | 12.90 | 31% |

**HBM Nigeria PLC CEO, Lolu Alade-Akinyemi, says:**

*"Our 9M 2026 results confirm that we remain firmly on track to deliver our full-year objectives. Net Sales grew 19% year-on-year to ₦928 billion, Operating Profit rose 28% to ₦383 billion, and Profit After Tax increased 31% to ₦272 billion. This performance reflects sustained volume growth, improved distribution efficiency, and disciplined cost management across the business.*

*Third-quarter performance was moderated by planned annual maintenance at our existing plants to correct restriction of output and unlock effective capacity accessibility. As a result, Q3 closed with a Net Sales of ₦250 billion and Profit After Tax of ₦64 billion, a decline of 5% and 15%, respectively, than in the same period last year.*

*The maintenance work strengthens the reliability and efficiency of our existing assets; as we enter Q4, traditionally a period of stronger demand, we are well positioned to capture the demand now and in the future.*

*We remain focused on improving supply reliability, advancing our cost leadership agenda, driving innovation, accelerating our sustainability initiatives, and upholding the highest standards of health and safety. We continue to leverage on the industrial and technical expertise of Huaxin Building Materials Group Co., Ltd to drive operational excellence and improve efficiency across the business.*

*We will continue to exercise disciplined capital allocation, maintain rigorous cost control, and invest selectively in opportunities that support our long-term growth strategy. Backed by a resilient operating platform and a clear strategic roadmap, we are confident in our ability to create sustainable value for our shareholders and all stakeholders.*

*Our achievements reflect the dedication of our people, the trust of our customers, and the confidence of our stakeholders. I thank all of them sincerely for their continued support as we work together to build a stronger, more sustainable future."*

**BUSINESS UPDATE**

The expansion of our Sagamu, Ogun State (3.5MTPA) and Ashaka, Gombe State (2MTPA) plants is on track and at an advanced stage, expected to be delivered in Q1 2027.

HBM Nigeria has commenced the engineering design for its third production line at Calabar, a state-of-the-art 3-million-ton integrated cement facility. The project is progressing through the requisite development processes, with completion expected within 12 months following commencement of construction.

We will continue to operate as a Nigerian company, maintaining a strong local presence and operational footprint.

**OUTLOOK**

Nigeria's demand outlook for cement remains positive, supported by ongoing infrastructure development, urbanization, and resilient activity across the construction sector, despite a dynamic global operating environment. As macroeconomic conditions continue to improve, we expect demand across our key market segments to remain supportive of sustainable growth.

Against this backdrop, HBM Nigeria will continue to focus on capturing volume growth opportunities while maintaining disciplined cost management and operational excellence to strengthen profitability and preserve margins. Supported by a resilient operating platform, a strong balance sheet, and disciplined execution of our strategic priorities, we are well positioned to create sustainable long-term value for our shareholders and all stakeholders.

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***About HBM Nigeria PLC***

HBM Nigeria PLC is a member of *Huaxin Building Materials Group Co., Ltd* — an integrated world building materials provider. HBM Nigeria PLC, established in 1959, is a publicly quoted company on the Premium Board of The Nigerian Exchange Limited (NGX) and serves the Nigerian construction market with a wide range of building and construction solutions. HBM Nigeria PLC is committed to sustainable development and is a key driver of infrastructure projects.

*Huaxin Building Materials Group Co., Ltd* is a publicly listed company on both Shanghai and Hong Kong Stock Exchanges and is one of the top ten cement manufacturers globally.

HBM Nigeria PLC has four major production plants in Nigeria and the widest cement operations footprint in Nigeria with plants in the South West (Ewekoro and Sagamu in Ogun State), North East (Ashaka, in Gombe State), South East (Mfamosing, Cross Rivers State), with Ready-Mix operations in Lagos, Abuja, and Port Harcourt. HBM Nigeria PLC has a current installed cement production capacity of 10.5Mtpa.

HBM Nigeria PLC leverages on its innovative expertise to provide value-added products and services solutions in the building and construction industry in Nigeria. Additional information is available on the website at www.hbmngplc.com

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